

TERROR FINANCING, MONEY LAUNDERING AND FATF

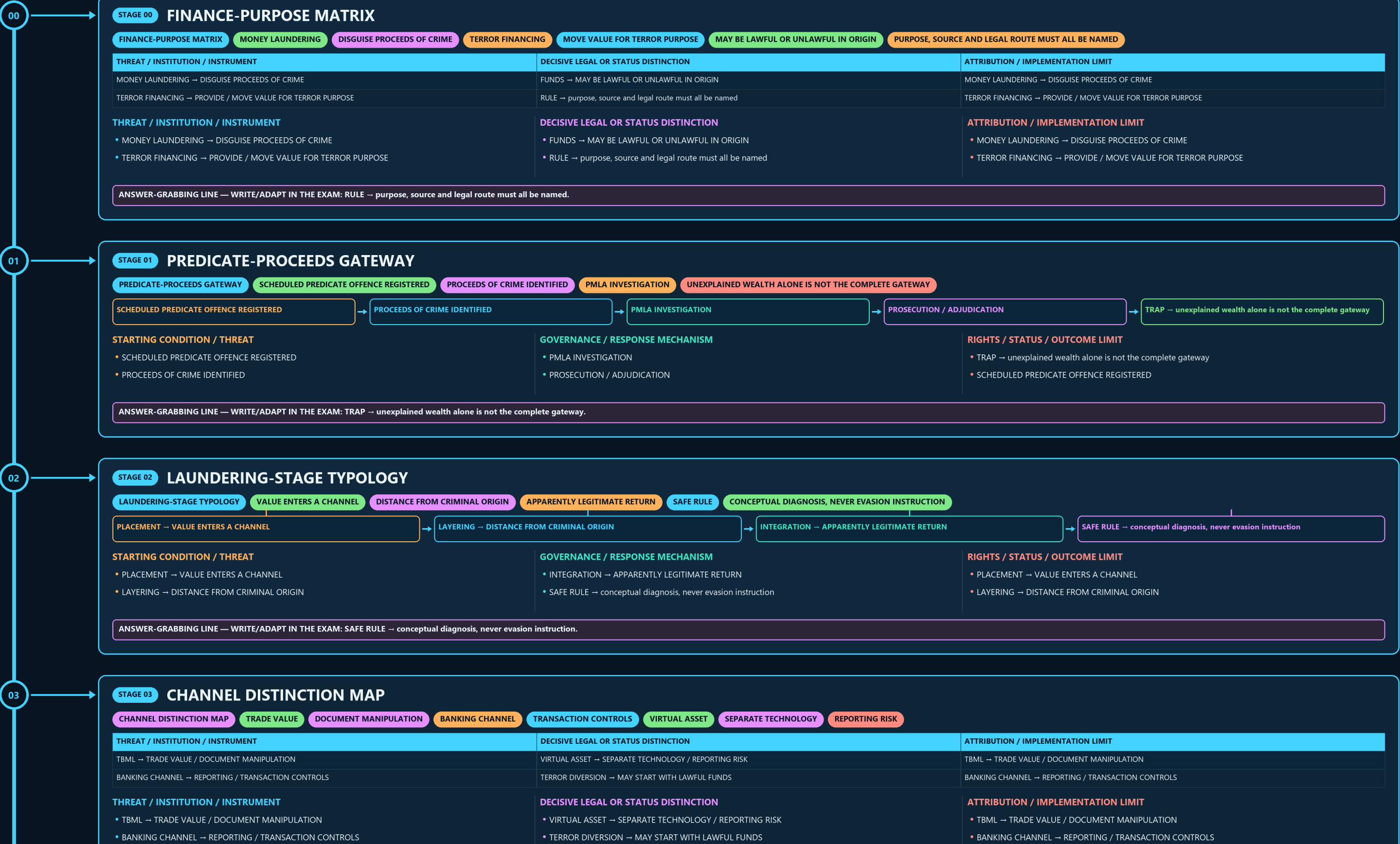
FINANCE-PURPOSE MATRIX → PREDICATE-PROCEEDS GATEWAY → LAUNDERING-STAGE TYPOLOGY → CHANNEL DISTINCTION MAP → PREVENTIVE-CONTROL CHAIN → PMLA INSTITUTION LADDER

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SAFE RULE → conceptual diagnosis, never evasion instruction.

03

STAGE 03 CHANNEL DISTINCTION MAP

CHANNEL DISTINCTION MAP    TRADE VALUE    DOCUMENT MANIPULATION    BANKING CHANNEL    TRANSACTION CONTROLS    VIRTUAL ASSET    SEPARATE TECHNOLOGY    REPORTING RISK

THREAT / INSTITUTION / INSTRUMENT

TBML → TRADE VALUE / DOCUMENT MANIPULATION

BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

THREAT / INSTITUTION / INSTRUMENT

• TBML → TRADE VALUE / DOCUMENT MANIPULATION

• BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

DECISIVE LEGAL OR STATUS DISTINCTION

VIRTUAL ASSET → SEPARATE TECHNOLOGY / REPORTING RISK

TERROR DIVERSION → MAY START WITH LAWFUL FUNDS

DECISIVE LEGAL OR STATUS DISTINCTION

• VIRTUAL ASSET → SEPARATE TECHNOLOGY / REPORTING RISK

• TERROR DIVERSION → MAY START WITH LAWFUL FUNDS

ATTRIBUTION / IMPLEMENTATION LIMIT

TBML → TRADE VALUE / DOCUMENT MANIPULATION

BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

ATTRIBUTION / IMPLEMENTATION LIMIT

• TBML → TRADE VALUE / DOCUMENT MANIPULATION

• BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TERROR DIVERSION → MAY START WITH LAWFUL FUNDS.

04

STAGE 04 PREVENTIVE-CONTROL CHAIN

PREVENTIVE-CONTROL CHAIN    BENEFICIAL OWNER    TRANSACTION MONITORING    SUSPICIOUS TRANSACTION REPORT    FIU-IND ANALYSIS    NOT PROVED    CRIME OR GUILT

CDD / KYC → BENEFICIAL OWNER

RECORDS / TRANSACTION MONITORING

SUSPICIOUS TRANSACTION REPORT

FIU-IND ANALYSIS / DISSEMINATION

NOT PROVED → crime or guilt

STARTING CONDITION / THREAT

• CDD / KYC → BENEFICIAL OWNER

• RECORDS / TRANSACTION MONITORING

GOVERNANCE / RESPONSE MECHANISM

• SUSPICIOUS TRANSACTION REPORT

• FIU-IND ANALYSIS / DISSEMINATION

RIGHTS / STATUS / OUTCOME LIMIT

• NOT PROVED → crime or guilt

• CDD / KYC → BENEFICIAL OWNER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FIU-IND ANALYSIS / DISSEMINATION; NOT PROVED → crime or guilt.

05

STAGE 05 PMLA INSTITUTION LADDER

PMLA INSTITUTION LADDER    PREDICATE AGENCY    UNDERLYING OFFENCE    FINANCIAL INTELLIGENCE    PMLA INVESTIGATION    PROVISIONAL ATTACHMENT    ADJUDICATING AUTHORITY    SPECIAL COURT

PREDICATE AGENCY → UNDERLYING OFFENCE

FIU-IND → FINANCIAL INTELLIGENCE

ED → PMLA INVESTIGATION / PROVISIONAL ATTACHMENT

ADJUDICATING AUTHORITY → CONFIRM / RELEASE

STARTING CONDITION / THREAT

• PREDICATE AGENCY → UNDERLYING OFFENCE

• FIU-IND → FINANCIAL INTELLIGENCE

GOVERNANCE / RESPONSE MECHANISM

• ED → PMLA INVESTIGATION / PROVISIONAL ATTACHMENT

• ADJUDICATING AUTHORITY → CONFIRM / RELEASE

RIGHTS / STATUS / OUTCOME LIMIT

• SPECIAL COURT → TRIAL / LEGAL OUTCOME

• PREDICATE AGENCY → UNDERLYING OFFENCE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ADJUDICATING AUTHORITY → CONFIRM / RELEASE; SPECIAL COURT → TRIAL / LEGAL OUTCOME.

06

STAGE 06 PROPERTY-STATUS FIREWALL

PROPERTY-STATUS FIREWALL    PROVISIONAL ATTACHMENT    CONFIRMATION OR RELEASE    CONVICTION OR ACQUITTAL    CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME

TRACE / IDENTIFY

PROVISIONAL ATTACHMENT

CONFIRMATION OR RELEASE

CONVICTION OR ACQUITTAL

THREAT / INSTITUTION / INSTRUMENT

• TRACE / IDENTIFY

• PROVISIONAL ATTACHMENT

DECISIVE LEGAL OR STATUS DISTINCTION

• CONFIRMATION OR RELEASE

• CONVICTION OR ACQUITTAL

ATTRIBUTION / IMPLEMENTATION LIMIT

• CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME

• TRACE / IDENTIFY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONVICTION OR ACQUITTAL; CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME.

06

STAGE 06 PROPERTY-STATUS FIREWALL

PROPERTY-STATUS FIREWALL PROVISIONAL ATTACHMENT CONFIRMATION OR RELEASE CONVICTION OR ACQUITTAL CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME

TRACE / IDENTIFY

PROVISIONAL ATTACHMENT

CONFIRMATION OR RELEASE

CONVICTION OR ACQUITTAL

THREAT / INSTITUTION / INSTRUMENT

- TRACE / IDENTIFY
- PROVISIONAL ATTACHMENT

DECISIVE LEGAL OR STATUS DISTINCTION

- CONFIRMATION OR RELEASE
- CONVICTION OR ACQUITTAL

ATTRIBUTION / IMPLEMENTATION LIMIT

- CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME
- TRACE / IDENTIFY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONVICTION OR ACQUITTAL; CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME.

07

STAGE 07 TERROR-SANCTIONS ROUTE

TERROR-SANCTIONS ROUTE TERROR-FUND OFFENCE? UAPA INVESTIGATION LISTED PERSON SECTION 51A TARGETED ACTION UN 1267 LINK DOMESTIC IMPLEMENTATION IDENTITY ACCURACY

TERROR-FUND OFFENCE? → UAPA INVESTIGATION / TRIAL

LISTED PERSON / ENTITY? → SECTION 51A TARGETED ACTION

UN 1267 LINK → DOMESTIC IMPLEMENTATION

SAFEGUARD → REVIEW / DELISTING / IDENTITY ACCURACY

THREAT / GOVERNANCE CONCEPT

- TERROR-FUND OFFENCE? → UAPA INVESTIGATION / TRIAL
- LISTED PERSON / ENTITY? → SECTION 51A TARGETED ACTION

INSTITUTIONAL RESPONSE

- UN 1267 LINK → DOMESTIC IMPLEMENTATION
- SAFEGUARD → REVIEW / DELISTING / IDENTITY ACCURACY

LEGAL / EVIDENTIARY LIMIT

- TERROR-FUND OFFENCE? → UAPA INVESTIGATION / TRIAL
- LISTED PERSON / ENTITY? → SECTION 51A TARGETED ACTION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SAFEGUARD → REVIEW / DELISTING / IDENTITY ACCURACY.

08

STAGE 08 THREE-FINANCE-LIMBS

PROCEEDS OF CRIME FUNDS FOR TERROR PURPOSE PROHIBITED WMD-RELATED FINANCING COMMON NEED RISK CONTROLS + INTELLIGENCE + LAWFUL ADJUDICATION

THREAT / INSTITUTION / INSTRUMENT

AML → PROCEEDS OF CRIME

CFT → FUNDS FOR TERROR PURPOSE

DECISIVE LEGAL OR STATUS DISTINCTION

PF → PROHIBITED WMD-RELATED FINANCING

COMMON NEED → risk controls + intelligence + lawful adjudication

ATTRIBUTION / IMPLEMENTATION LIMIT

AML → PROCEEDS OF CRIME

CFT → FUNDS FOR TERROR PURPOSE

THREAT / INSTITUTION / INSTRUMENT

- AML → PROCEEDS OF CRIME
- CFT → FUNDS FOR TERROR PURPOSE

DECISIVE LEGAL OR STATUS DISTINCTION

- PF → PROHIBITED WMD-RELATED FINANCING
- COMMON NEED → risk controls + intelligence + lawful adjudication

ATTRIBUTION / IMPLEMENTATION LIMIT

- AML → PROCEEDS OF CRIME
- CFT → FUNDS FOR TERROR PURPOSE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: COMMON NEED → risk controls + intelligence + lawful adjudication.

09

STAGE 09 FATF ASSESSMENT ARCHITECTURE

FATF ASSESSMENT ARCHITECTURE FATF RECOMMENDATIONS INTERNATIONAL STANDARDS MUTUAL EVALUATION TECHNICAL COMPLIANCE + EFFECTIVENESS POST-EVALUATION REPORTING INCREASED MONITORING CALL FOR ACTION

FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS

MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

FOLLOW-UP → POST-EVALUATION REPORTING

LISTING → INCREASED MONITORING / CALL FOR ACTION

THREAT / GOVERNANCE CONCEPT

- FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS
- MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

INSTITUTIONAL RESPONSE

- FOLLOW-UP → POST-EVALUATION REPORTING
- LISTING → INCREASED MONITORING / CALL FOR ACTION

LEGAL / EVIDENTIARY LIMIT

- FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS
- MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LISTING → INCREASED MONITORING / CALL FOR ACTION.

09

STAGE 09 FATF ASSESSMENT ARCHITECTURE

FATF ASSESSMENT ARCHITECTURE

FATF RECOMMENDATIONS

INTERNATIONAL STANDARDS

MUTUAL EVALUATION

TECHNICAL COMPLIANCE + EFFECTIVENESS

POST-EVALUATION REPORTING

INCREASED MONITORING

CALL FOR ACTION

FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS

MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

FOLLOW-UP → POST-EVALUATION REPORTING

LISTING → INCREASED MONITORING / CALL FOR ACTION

THREAT / GOVERNANCE CONCEPT

- FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS
- MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

INSTITUTIONAL RESPONSE

- FOLLOW-UP → POST-EVALUATION REPORTING
- LISTING → INCREASED MONITORING / CALL FOR ACTION

LEGAL / EVIDENTIARY LIMIT

- FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS
- MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LISTING → INCREASED MONITORING / CALL FOR ACTION.

10

STAGE 10 INDIA 2024 BALANCED SCORECARD

INDIA 2024 BALANCED SCORECARD

RISK UNDERSTANDING

FINANCIAL INTELLIGENCE

BENEFICIAL OWNERSHIP

ASSET RECOVERY

COMPLETE ML

TF TRIALS + APPROPRIATE SANCTIONS

RISK-BASED NON-PROFIT OUTREACH

THREAT / INSTITUTION / INSTRUMENT

- STRENGTH → RISK UNDERSTANDING / FINANCIAL INTELLIGENCE
- STRENGTH → BENEFICIAL OWNERSHIP / ASSET RECOVERY

DECISIVE LEGAL OR STATUS DISTINCTION

- GAP → COMPLETE ML / TF TRIALS + APPROPRIATE SANCTIONS
- GAP → RISK-BASED NON-PROFIT OUTREACH

ATTRIBUTION / IMPLEMENTATION LIMIT

- STATUS → REGULAR FOLLOW-UP; REPORT BACK IN THREE YEARS
- STRENGTH → RISK UNDERSTANDING / FINANCIAL INTELLIGENCE

THREAT / INSTITUTION / INSTRUMENT

- STRENGTH → RISK UNDERSTANDING / FINANCIAL INTELLIGENCE
- STRENGTH → BENEFICIAL OWNERSHIP / ASSET RECOVERY

DECISIVE LEGAL OR STATUS DISTINCTION

- GAP → COMPLETE ML / TF TRIALS + APPROPRIATE SANCTIONS
- GAP → RISK-BASED NON-PROFIT OUTREACH

ATTRIBUTION / IMPLEMENTATION LIMIT

- STATUS → REGULAR FOLLOW-UP; REPORT BACK IN THREE YEARS
- STRENGTH → RISK UNDERSTANDING / FINANCIAL INTELLIGENCE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATUS → REGULAR FOLLOW-UP; REPORT BACK IN THREE YEARS.

11

STAGE 11 PYQ AND EFFECTIVENESS RAIL

PYQ AND EFFECTIVENESS RAIL

GLOBALISATION + MATCHED CONTROLS

FUNDING SOURCES + FATF COMPLIANCE EFFORTS

CROSS-OWNED DRUG

LAUNDERING LINK

ATTACHMENT, LISTING AND COMPLIANCE ARE NOT CONVICTION

2021 → TECHNOLOGY / GLOBALISATION + MATCHED CONTROLS

2023 → FUNDING SOURCES + FATF COMPLIANCE EFFORTS

2018 → CROSS-OWNED DRUG / LAUNDERING LINK

END → PREVENT / DETECT / DISRUPT / PROSECUTE / ADJUDICATE

QUALIFY → attachment, listing and compliance are not conviction

THREAT / GOVERNANCE CONCEPT

- 2021 → TECHNOLOGY / GLOBALISATION + MATCHED CONTROLS
- 2023 → FUNDING SOURCES + FATF COMPLIANCE EFFORTS

INSTITUTIONAL RESPONSE

- 2018 → CROSS-OWNED DRUG / LAUNDERING LINK
- END → PREVENT / DETECT / DISRUPT / PROSECUTE / ADJUDICATE

LEGAL / EVIDENTIARY LIMIT

- QUALIFY → attachment, listing and compliance are not conviction
- 2021 → TECHNOLOGY / GLOBALISATION + MATCHED CONTROLS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUALIFY → attachment, listing and compliance are not conviction.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

RECEIVES AND ANALYSES SUSPICIOUS TRANSACTION REPORTS/CASH

ENFORCEMENT DIRECTORATE (ED)

INVESTIGATES PMLA CASES TIED TO A

SPECIAL COURTS UNDER PMLA

THE PROSECUTION LAYER FATF'S 2024

THE PREDICATE-OFFENCE DEPENDENCY AS AN INSTITUTIONAL DESIGN

UAPA SECTION 51A AND THE UN 1267 ROUTE

OPTIONAL DOCTRINE / INSTITUTION DEPTH

- FIU-IND: receives and analyses Suspicious Transaction Reports/Cash
- Enforcement Directorate (ED): investigates PMLA cases tied to a
- CAUTION: Special Courts under PMLA: the prosecution layer FATF's 2024
- CAUTION: The predicate-offence dependency as an institutional design

LAW, ATTRIBUTION OR STATUS LIMIT

- UAPA Section 51A and the UN 1267 route: the terrorist-financing
- FATF's three-year progress-report obligation (in 2027): the
- CAUTION: Emerging virtual-asset regulatory architecture: CAUTION: any specific
- CAUTION: The 26-country MLAT figure (Singh, book-period) as a boundary case

COMPARATIVE GOVERNANCE / RIGHTS NUANCE

- CAUTION: JAM-Trinity (Jan Dhan-Aadhaar-Mobile) as an AML/CFT-relevant boundary
- CAUTION: Non-profit-sector terror-financing risk as a boundary case: FATF's
- CAUTION: Strong detection/seizure capacity without matching prosecutorial
- CAUTION: TBML detection depends on customs-agency focus shifting from

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.